5. Housing

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Housing Goal

Sedona has diverse housing options that are safe, secure, and affordable.



Overview

HOUSING KEY ISSUES

- Lack of housing availability - for sale or rent
- High cost of housing - for sale or rent
- Lack of variation in housing types
  - 81% of Sedona's housing is single-family residential
- Impacts of short-term rentals (STRs)
- Diminishing amount of buildable land in the City
  - Many of the remaining parcels are more difficult and expensive to build on (topography, drainage, etc.)
- Perception that the City's development codes, costs, and overall experience working with the City make it very difficult to build housing in Sedona
- Housing is a key issue for economic development
  - Sedona has a large gap between wages and housing costs
  - Housing issues adversely impact employee recruitment and retention

SYNOPSIS 2013 - 2023

- 2017: Short-term vacation rentals are legalized by the State of Arizona
- 2020: COVID-19 Pandemic affected the supply and cost of building materials
- 2020: City of Sedona Housing Study, which states that Sedona will need an additional 1600 housing units to meet Sedona's housing needs
- The Verde Valley Housing Study states that the Verde Valley will need around 3600 units
- City Housing Program established with 2 new staff positions: Housing Manager (2021) and Housing Coordinator (2023)
- Western Gateway - Cultural Park property in West Sedona purchased by the City

The City of Sedona Housing Programs

- City Housing Fund: City Council allocated $12 million to incentivize and help finance the development of affordable housing in Sedona
- Sedona Workforce Homeownership Assistance Program for eligible workers
- Sedona Employer Assisted Housing Program for City of Sedona employees
- Rent Local: City pays STR owners within City limits to rent to a local worker for at least one year
- Deed Restriction Program: Homeowner may place a voluntary deed restriction on their property preventing its use as an STR

City Housing Program

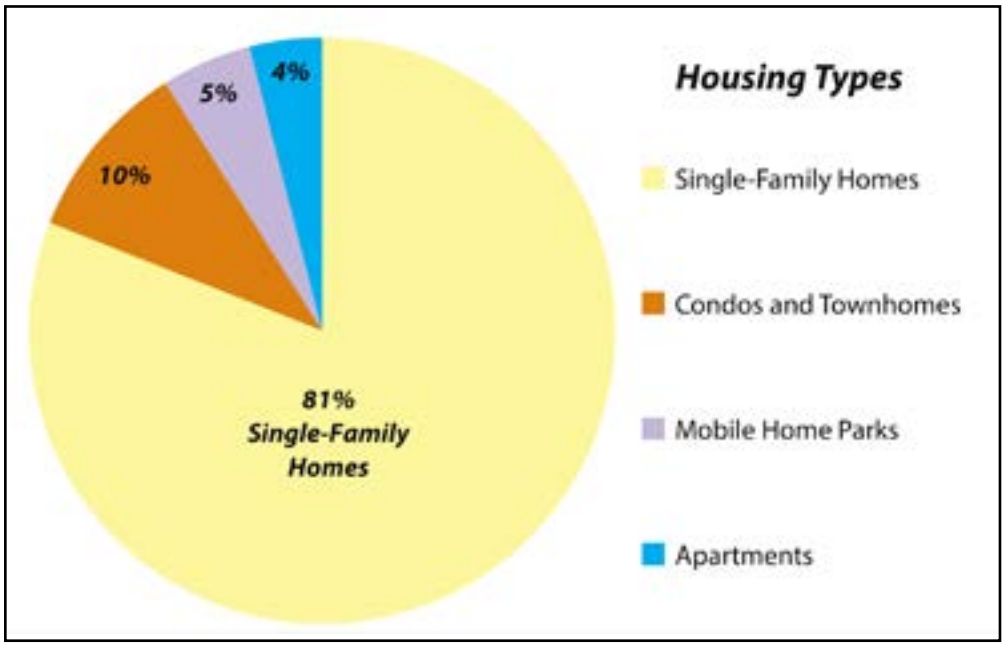


Figure 5.1.
Existing housing types in Sedona as of 2023. Single-family homes are the biggest slice of the pie. Source: City of Sedona GIS, 2023

SPOTLIGHT: Western Gateway CFA: Cultural Park

In 2022 the City of Sedona bought the 40-acre property off W 89A and Red Rock Loop Road/Cultural Park Place (site of former amphitheater) to ensure that future development on what is Sedona's largest, undeveloped property in the city limits will accommodate a variety of housing types, sizes, and cost. A land use master plan will be developed through a process that includes community and stakeholder input, incorporating other community needs. This property is included in the Western Gateway Community Focus Area Plan, which will be the basis of future planning.

DID YOU KNOW?

Zoning is set by the Land Development Code - not to be confused with the Future Land Use Map (see Land Use chapter, p. 36) which is set forth in this Plan.

Multi-family housing can be built in a Commercial zoning district without rezoning.

- Sedona Land Development Code
- Zoning Map

MULTI-FAMILY HOUSING IN SEDONA

Multi-family residential can accommodate more housing in a smaller area. It can also be many smaller housing units on a single lot, such as apartments. It can also include townhouses or condos which are typically smaller units on smaller lots. Building more multi-family housing in Sedona can happen a number of ways, such as building up by allowing for taller buildings, infill that may fill in vacant lots, or by splitting large lots, or spreading out (not an option with National Forest in city limits). What is Sedona willing to do to increase the amount of housing?

The advantages of more multi-family housing:

- Accommodates more people on less land
- Units can be smaller in size with a mix of sizes within one complex
- Can be located in mixed-use areas more convenient for walking and transit
- Smaller housing units can cost less to build, own, or rent

Why is Sedona lacking multi-family housing?

1. Only 14% of the city is zoned for multi-family housing
2. Sedona height restrictions (no more than 2-3 stories allowed)
3. Compared to other cities, Sedona has relatively low density limits
4. At 82% build-out, there is a limited amount of buildable property
5. High property values
6. Development, materials, and labor costs



Housing Diversity and Affordability

Sedona's lack of housing has begun to affect the entire community. Residents and visitors that rely on grocery stores, pharmacies, or medical offices are affected when businesses cannot attract or retain enough employees. This can result in businesses reducing the hours or days of operation when there are not enough employees. The worst case scenario is that businesses close and residents relocate due to the decline in providers, services, and amenities.

What is Affordable?

Housing is considered "affordable" if it costs no more than 30% of a household's income.

The Increasing Cost of Housing

The median housing price for a single-family home:

$1,050,000 in 2022
$650,000 in 2020
$330,000 in 2011
$600,000 in 2007

▶ Policy 5.1 - Expand Sedona's mix of housing types to meet the needs of a diverse and vibrant community.

A complete and thriving community is made up of people at different stages in life - singles, couples, families, and seniors - who want housing options that suit their lifestyle, circumstances, and budget. Examples of alternatives are cottages, duplexes, triplexes, age-in-place housing, and accessory dwelling units (ADU).

▶ Policy 5.2 - Encourage redevelopment of the commercial corridors to include a mix of uses, including multi-family housing.

There are locations for multi-family housing that can accommodate increased height and density, and take advantage of access to transit and walkability. Siting these projects must take into consideration scenic views and neighboring homes. This can be determined with public input during the process of developing CFA plans.

▶ Policy 5.3 - Encourage collaboration among employers to provide workforce housing.

Businesses need to attract and retain employees which is a challenge if there is not enough (or affordable) housing. Rather than each company struggling to find a solution, it may be more effective for them to join forces. Already, several larger resorts are providing housing for employees to rent, and shuttles to and from Cottonwood.

▶ Policy 5.4 - Increase housing diversity with strategies that promote the development of affordable and market-rate housing in Sedona.

The City's Housing Program is pursuing multiple projects in partnership with developers to build more housing in Sedona. There may be additional ways to support the development of affordable housing, such as improving procedures and policies that could lower costs, decrease time frames, minimize obstacles, increase efficiencies, and streamline customer and employee workflow.

▶ Policy 5.5 - Increase the Verde Valley's supply of affordable housing for the area's workforce, homeless, and others in need through regional partnerships.

As a small town in an extraordinarily scenic setting, housing is more expensive in Sedona compared to the surrounding communities. In the past, people working in Sedona could find more affordable places to live in Cottonwood, Village of Oak Creek, and Camp Verde. However, housing costs in these communities have been rising over the last ten years, diminishing the cost savings of living in neighboring communities. It has become increasingly problematic for employers to recruit and retain employees.

▶ Policy 5.6 - Address rental housing conditions when the health, welfare, and safety of Sedona residents are at risk.

In some instances, when affordable housing can be found, building conditions can be unsafe, unhealthy, and don't meet city standards. During the public outreach in 2022, residents expressed their fears of losing their rental housing with little notice, which had happened to others in their community. Often the 'affordable' housing is tolerated since asking a landlord to make repairs can mean losing the housing, as landlords know there are others willing to take their place. This is an issue that can be addressed at the local, city level, and through state policies.

"We are in an absolute crisis in terms of housing in our community. Those of us that rent are terrified of what will happen when our leases come up each year - the rent increases are out of control, and there are no viable options for the working class of the city. If we can't find a way to curb this problem and offer more housing solutions for the local workforce, all the local economy will suffer for it.
- Public Comment

The Role of Building Codes

To protect the public's health, safety, and welfare. The codes are not arbitrary, but are the foundation of safe construction.

Suggestions to modify the code to reduce housing costs cannot come at the expense of the public's health, safety and welfare.

City of Sedona Building Safety

Housing Actions

Action H1. Improve City procedures, policies, and programs to better support the building of affordable housing.

Action H2. Amend the Land Development Code and other applicable codes to advance city housing initiatives as outlined in this Plan.

Action H3. Update the City's Development Incentives and Guidelines for Affordable Housing (DIGAH).

Action H4. Participate in regional housing programs (new and existing) that benefit Sedona and the Verde Valley.

Action H5. Identify incentives that support and encourage developers to build more affordable multi-family housing.

Action H6. Develop programs and partnerships that provide support to both tenants and property managers.

